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The Limits of Liberty

Between Anarchy and Leviathan — James M. Buchanan (1975)
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Frank H. Knight (1885–1972)

“And the main, most serious problem of social order and progress is . . . the problem of having the rules obeyed, or preventing cheating. . . . No social machinery of ‘sanctions’ will keep the game from breaking up in a quarrel . . . unless the participants have an irrational preference to having it go on even when they seem individually to get the worst of it.”

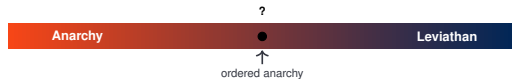
The epigraph Buchanan chose for The Limits of Liberty.

This whole unit is about the **rules behind the rules**.

- Ch. 1 — Commencement
- Ch. 2 — The Bases for Freedom in Society
- Ch. 3 — The Theory of Public Goods
- Ch. 4 — The Theory of Law
- Ch. 5 — Continuing Contract and the Status Quo
- Ch. 6 — The Paradox of “Being Governed”
- Ch. 7 — Law as Public Capital
- Ch. 8 — The Punishment Dilemma
- Ch. 9 — The Threat of Leviathan
- Ch. 10 — Beyond Pragmatism

One sentence

How does a society of free people get **order** without a tyrant — and keep the state from becoming one?



Buchanan's answer: liberty lives in the narrow band between anarchy and Leviathan.

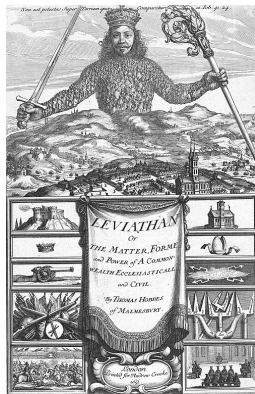
Ch. 1 — Commencement

Between Anarchy and Leviathan

Buchanan writes in the wake of **Watergate** (1975). His diagnosis: America has slid into “**constitutional anarchy**” — the state is on the loose while the *informal* order that holds society together quietly erodes (p. 19).

The book’s animating worry is ancient: *Quis custodiet ipsos custodes?* — “**Who guards the guardians?**” (p. 17). When a president, a prosecutor, or a police force breaks the rules, who enforces the rules on *them*?

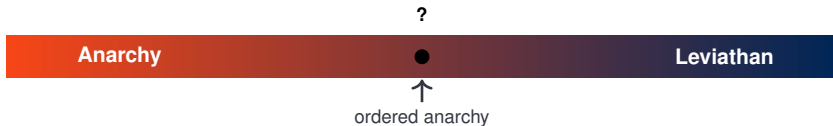
“Those who might have thought otherwise may find these statements more persuasive after Watergate.” (p. 20) — and again after every modern constitutional crisis.



Hobbes's *Leviathan* (1651): the sovereign built from many bodies — the deck's spine motif.

UF | The spectrum: anarchy ↔ Leviathan

The whole book lives on one line. Too little order and you get **anarchy** — the war of each against all. Too much power and you get **Leviathan** — a state nobody can control. Freedom lives in the narrow middle band Buchanan calls “**ordered anarchy**.”



“The anarchistic war of each against all, where life becomes nasty, brutish, and short, will be dominated by the order that the sovereign can impose.” (p. 8) — but the sovereign is itself the danger. The book asks: *how do free people stay in the middle?*

Order without a tyrant

Huge zones of life run smoothly with *no* cop: conversation (one speaker at a time), queues, sidewalks, traffic, group chats. “Anarchy works. It fails to work when. . . individuals refuse to accept the minimal rule for mutual tolerance” (p. 7). One “busybody” or heckler breaks it.

- ▶ Buchanan starts from **individuals as they are**, not as we wish them: “Each man counts for one, and that is that” (p. 4).
- ▶ He claims **no privileged “truth”** about the good society — seeking one is “wasted at best and pernicious at worst” (p. 3). His emphasis is **“diagnosis rather than dreams”** (pp. 20–21).
- ▶ *Contrast preview*: **Rawls** derives justice from an idealized agreement behind a veil of ignorance — same contract *method*, opposite ambition.

- ▶ James M. Buchanan (1919–2013); Nobel 1986; founder of public choice.
- ▶ His motto: “politics without romance.” Politicians and voters are ordinary self-interested people — not selfless guardians of the common good.
- ▶ Earlier, *The Calculus of Consent* (1962, with Gordon Tullock) explained how institutions emerge from positive-sum agreement.
- ▶ *The Limits of Liberty* is the darker companion: a “theory of public bads” — why order breaks down. “Politico-legal order is a public good; disorder is a public bad” (p. 11).



James M. Buchanan (1919–2013), Nobel 1986; author of *The Limits of Liberty*.

Discussion

Where on the anarchy ↔ Leviathan line is the U.S. today — and which way is it drifting?

Ch. 2 — The Bases for Freedom

Where Do Rights Come From?

UF | Who owns the sidewalk?

You walk down a public street, swipe a stranger's payment on Venmo, sleep without your neighbor's stereo blasting. You never *voted* on any of it — yet the rights are there, felt as natural as gravity.

Buchanan's claim: they are **not** natural. They are a **human agreement** about who may do what. "I do not start my power mower early on Sunday morning, and my neighbor does not play stereo music loudly after eleven at night" (p. 26) — an unwritten "live and let live" treaty we forget we signed.

Strip the agreement away and even a tiny interaction turns into a standoff. This chapter asks the question economists usually skip: *where do rights come from?*



Buchanan's anchor example (Blacksburg, VA). You buy a melon at a roadside stand. Total strangers, seconds, no haggling — because **both already agree** the vendor owns the melons and you own the money (pp. 22–23).

Now change *one* fact: a farmer leaves melons free by the road, and a stranger demands you pay him. The *same* transaction **jams** — you won't pay (he has no right), he won't hand them over (he thinks he does). **Same behavior, opposite outcome**, purely because the parties disagree about rights (p. 23).

Takeaway: trade runs on **agreed rights**, not on goodwill or knowing each other.



A roadside stand: the everyday miracle of impersonal exchange.

The engine: two people, one scarce good x , no law

A and B each pour effort into **grabbing** the good and **defending** their grab. The outcome settles where each person's marginal benefit of effort = marginal cost. Buchanan calls this baseline the **natural distribution** (pp. 31–32; formal model by *Winston Bush*).

- ▶ It is **not** a structure of rights — no agreement has been made. “As Thomas Hobbes perceptively noted, in this state of nature each person has a ‘right’ to everything” (p. 32).
- ▶ But it does fix **who the parties are** — the necessary starting point for any deal.
- ▶ It need not be equal or just: “Men enter as they are in some natural state, and this may embody significant differences” (p. 35).
- ▶ *This is point D on the next two figures — the no-agreement baseline.*

UF | Fig 2.1 — the rights payoff matrix

Both players do best if both **respect rights** (Cell I, joint payoff 26). But each is privately tempted to cheat: A defects to Cell III ($22 > 19$), B to Cell II ($11 > 7$). Defect together and you fall back to **anarchy** (Cell IV) — worse for both. This is a **prisoners' dilemma**.

		B	
		Respects Rights	Respects No Rights
A	Respects Rights	Cell I 19, 7	Cell II 3, 11
	Respects No Rights	Cell III 22, 1	Cell IV 9, 2

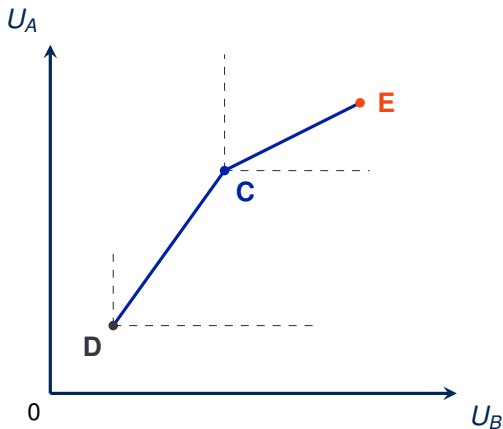
Left number = A's payoff, right = B's. (after Buchanan, Fig 2.1, p.36)

Property emerges by contract, not by nature

Attack-and-defense effort is pure **waste** — resources burned fighting instead of producing. So **both** sides can be made better off by agreeing to stop and recognize each other's holdings, *even if one party currently holds everything* (p. 33). That agreement **is** the origin of property rights: a contractual internalization of the conflict that raged in the state of nature.

- ▶ **David Hume**: property is a *convention* that makes social life stable, not a law of nature (Buchanan's theory is part-Humean, p. 27).
- ▶ **Coase / Demsetz**: rights arise to *internalize* conflict. Demsetz's beaver example — when fur prices rose, tribes shifted to private hunting grounds (p. 30) — but they had to *recognize each other first*, so efficiency explains how rights *shift*, not how they first *emerge*.

The engine of the whole book. From anarchy at **D**, the constitutional contract (agree on rights) jumps you to **C**; then ordinary postconstitutional trade carries you to **E** on the frontier. Every arrow moves both people northeast — everyone gains at each stage.



UF | Two contracts, two stages

With many goods the deal splits in two. **Define the rights first**, then **trade within them** — and the order matters. This sets up Chapters 3–4 (pp. 37–40).

	Constitutional (C)	Postconstitutional (E)
What it does	Assigns rights — the disarmament treaty: stop fighting, recognize holdings	Trades goods — ordinary market exchange, <i>given</i> the rights
Question	Who owns <i>what</i> ?	Who gets <i>which</i> of what they own?
Domain	The social contract / the rules	Everyday economics / markets

*In the **Locke/Rawls** contractarian lineage — but Buchanan insists the rights are negotiated from the natural distribution, not granted by nature or chosen behind a veil.*

Discussion

If rights come from *agreement*, can there be a right no one ever agreed to?
Are “human rights” then fictions?

Ch. 3 — Trading Inside the Rules

Public Goods, Free Riders, and the Price of Government

- ▶ The group project where one person “forgets” to do their part — but still gets the grade.
- ▶ The clean public park nobody pays to clean. The Wikipedia you read but never donate to.
- ▶ Buchanan’s own picture: David Hume’s villagers and a **swampy meadow** that everyone would gain from draining.

Hume’s drained meadow (Buchanan, p. 49)

“... each of the many villagers knows that the drainage would prove beneficial to him... Even more desirable... would be the situation in which the meadow is drained by others, allowing the individual to escape without making any contribution.”



David Hume (1711–1776): the drained meadow is the free-rider problem in one sentence.

Private goods — markets just *work*

Apples for oranges. **Two parties**, low transactions costs, alternative trading partners. “All persons will be better off” (p. 47). The 18th-century insight of **Mandeville**, **Hume**, and **Smith**.

Public goods — markets *fail*

Clean air, national defense, the drained meadow: **non-rival** (zero cost to add a user) and hard to exclude. Provision “require[s] the simultaneous agreement of many parties” (p. 48) — so everyone waits for someone else to pay.

The free-rider problem (p. 49)

“Each person has an incentive. . . to try to become a ‘free rider,’ one who secures the benefits of the jointly consumed good. . . without participating fully in the sharing of its costs.”

If everyone reasons this way, the good everyone wanted **never gets made**.

- ▶ **Taxes as prices.** Your tax is what you pay for *your share* of the public good — not theft, but a fiscal exchange.
- ▶ **Unanimity as the test.** If **everyone** says yes, the deal must leave everyone better off (p. 51) — Wicksell saw **unanimity = the political analogue of two-person trade** (p. 50).
- ▶ *Pizza analogy:* “we all chip in, or no one gets a slice.”

The coercion question (p. 56)

“Coercion is apparently exercised upon him in the same way as that exerted by the thug who takes his wallet in Central Park”—legitimate only if agreed in advance.



Knut Wicksell (1851–1926): Buchanan's chief methodological influence.

Veto-proofing the bargain costs too much, so Wicksell relaxed to ~5/6

“qualified unanimity” (p. 55)

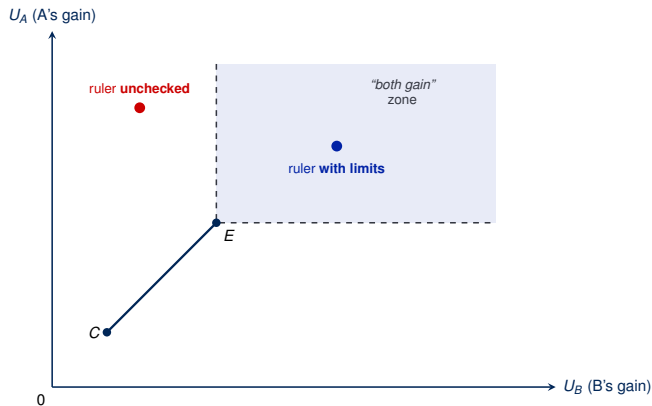


(after Buchanan, Fig 3.2, p.61)

The flat MC/Z line is the **tax-price**: the cost of one unit split across the Z taxpayers.

Whoever decides buys where *his own* demand meets that price: if **A** rules he picks Q_A ; if **B** rules, Q_B .

They want different amounts — yet because the **tax rule** sets a fair per-head price, the *other* person still comes out ahead either way (p. 59).



(after Buchanan, Fig 3.1, p.59)

Private trade carries the two from **C** up to **E**. Every point in the dashed box northeast of **E** makes **both better off**.

A big group can't decide by unanimity, so one side ends up "ruling." Tie that ruler down with a fair tax rule and his choice still lands **inside** the box (the other keeps a "net fiscal surplus," p. 60).

Remove the limits and he **grabs** — landing *outside* the box, exploiting the other. **That is the thug in the park.**

Discussion

If a public good needs *unanimous* consent, will anything ever get built? Is unanimity a **feature** (no one is ever harmed) or a **bug** (one holdout vetoes everyone)?

Ch. 4 — Writing the Rules

Where Law, Property, and the State Come From

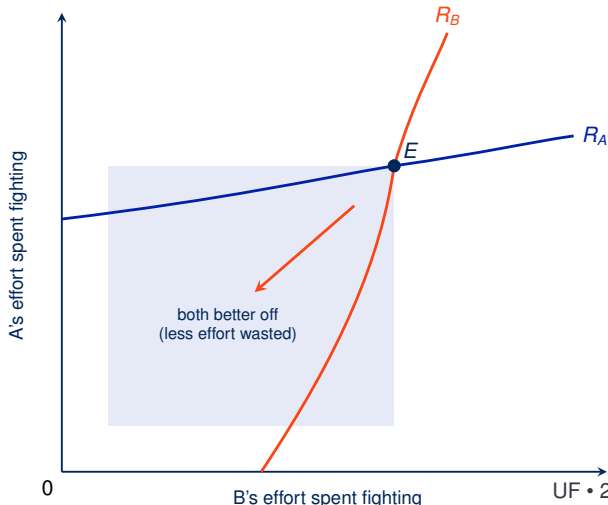
UF | The speed limit you never voted for

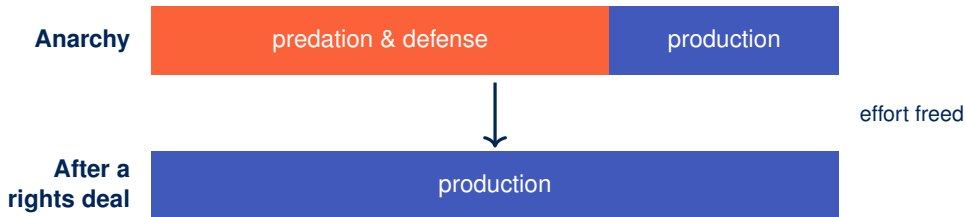
Why obey a law you never chose?
Buchanan's answer isn't "because it's moral" — it's **look at the alternative**.

Put two people on one island with no law. Each pours effort into **predation and defense** (alarm systems, gated communities, cybersecurity).

R_A is A's *best reply* to B's effort; R_B is B's best reply to A's. Where they cross, E , is the **natural distribution** (Winston Bush, p. 75): a stable arms-race standoff.

Both would rather sit in the **shaded zone** — less effort wasted on fighting. **That mutual gain is what a disarmament deal captures.**





In anarchy, effort is split between making things and **fighting over them** — pure waste. A deal that assigns **rights** lets everyone stop guarding and start **producing**.

But B (*goods-poor*) may do better raiding than working, so he won't sign for nothing. A may need to hand B a one-time **transfer T** to make the deal worth it for both (p. 81).

Even after rights are assigned, a rational agent still wants to **cheat** if he can do it unilaterally.

Two roommates keep a chore deal: skip your turn and the other instantly notices and retaliates.

Scale to a **400-person dorm**: your one skipped chore is **invisible**, so everyone free-rides. That jump is Buchanan's small-group vs. large-group enforcement problem (pp. 84–85).

So the contract must create an **external enforcing agent** — the state. Its service (general security of rights) is itself a *public good* (p. 86).

The danger (p. 87, citing Hobbes)

"There is no obvious and effective means through which the enforcing institution. . . can itself be constrained. . . individuals who contract for the services of enforcing institutions necessarily surrender their own independence."

Robert Nozick (1938–2002)

*Anarchy, State, and Utopia (1975) — the **minimal "protective" state** grows from competing protection agencies. Same year, parallel project to Buchanan.*

Thomas Hobbes (1588–1679)

The enforcer must be strong enough to protect you — and is therefore strong enough to **take your rights**. *Who keeps the bouncer honest?*

		B	
		Respects Rights (0)	Respects No Rights (V)
A	Respects Rights (0)	Cell I 19, 7	Cell II 3, 11
	Respects No Rights (V)	Cell III 22, 1	Cell IV 9, 2

(after Buchanan, Fig 4.3, p.84)

Cell I (both respect) is jointly best: $19 + 7 = 26$. But A defects to **Cell III** ($22 > 19$), B to **Cell II** ($11 > 7$).

So both slide to **Cell IV** — back to anarchy. “Any positive structure of rights is... extremely vulnerable to defection” (p. 84). Rights need enforcement.

Thinker	Where rights come from
Hobbes	Surrender all rights to a sovereign — order by <i>fear</i> .
Locke	Rights are pre-political , natural; the state protects them.
Rawls	Principles chosen behind a veil of ignorance (ideal fairness).
Nozick	Rights-first : a minimal state arises to protect prior rights.
Buchanan	No prior rights, no veil : rights are <i>negotiated</i> up from the natural distribution.

The line that divides them (p. 88)

*“Enforcement of claims is categorically different from defining these claims in the first place.” Two boys + a referee: the referee enforces the rules but must **not** pick the marbles — so the **protective** (enforcing) state $\neq$ the **productive** (law-making) state.*

Discussion

Buchanan says there are **no rights before the contract**. Locke says there are. Who's right — and what's at stake if you pick one over the other?

Ch. 5 — We Start From Here

The constitution you never signed — and why it still binds

UF | Hook: you can't un-bake the cake

No one alive signed the U.S. Constitution (ratified **1788**). The framers are long dead and held views we would now reject. So why obey rules written by people who never asked us?

Buchanan's flip: that is the **wrong** objection. Reform never starts on a blank slate — it always starts from the flawed present we actually inherited.

- ▶ **Board game already in progress:** you join a long Monopoly game where one player owns half the board. You can't reset — you can only deal *from here*.
- ▶ The question is not “did we sign?” but “**would we re-sign it now?**”



David Hume (1711–1776): justice and property rest on *convention* — shared, evolving expectation, not a one-time signature.

Buchanan, *The Limits of Liberty*

"Any proposal for change involves the status quo as the necessary starting point. 'We start from here,' and not from someplace else." (p. 101)

- ▶ The **status quo** = the whole set of existing rules, claims and institutions. Its one special feature: **it exists**. "No alternative set exists." (p. 100)
- ▶ This is **anti-utopian**, *not* a defense of the present: "There is nothing Panglossian" here — describing "here" is not praising "here." (p. 101)

Thinker-link

Contrast **Rawls**: justice derived from an *ideal* original position, behind the veil of ignorance. Buchanan refuses the blank slate.

Echoes the **Knight** epigraph: order is about getting the rules *obeyed*, here and now.

The contract is never signed once — it is **continuously renegotiated**. Legitimacy is **ongoing consent**, not an ancestor's signature.

The compliance test

Compare your **status-quo rights** against your **renegotiation expectations** — what you'd reasonably expect from a fresh deal. If your rights fall *within* that set you comply even with no police watching; if they drift *outside*, you defect. (pp. 97–99)

Fathers and sons (p. 99): under the *same* enforcement, sons who feel no commitment to the fathers' deal defect more — say violations rise .001% → .01%. Proof that consent must be **continuous**.

Why a *winner* accepts less

Two people in anarchy hold **10 : 2**; a disarmament deal gives **15 : 7**. Later A judges true anarchy is now nearer **6 : 6** — so “15” is dangerously **vulnerable**. A *voluntarily* accepts **13 : 9** to keep order. (p. 102)

Legitimacy is *earned*: a government that oversteps these bounds is “criminal” — even with a majority or a court behind it (p. 108).

Discussion

Is “we start from here” just a sophisticated defense of whoever currently holds power — or is it the only honest place reform can begin?

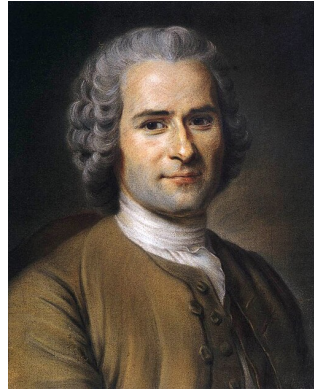
Ch. 6 — Why Do We Obey?

We author the rules — and resent them the moment they bind

Set “Screen Time” to lock Instagram at midnight — then feel *annoyed* when it greys out. You **chose** the rule, and you resent it at the very moment it bites.

That irritation *is* the paradox of being governed, in miniature. Scale it up: why do you stop at an empty red light at 3 a.m., pay taxes, file forms? You (collectively) authored these rules — yet you feel ruled by an alien power.

- ▶ “Man’s universal thirst for freedom” collides with his rational **need for rules**. (p. 117)



Rousseau (1712–1778): to obey a law you prescribe to yourself is freedom. Buchanan’s Crusoe “makes contracts with himself.”

Buchanan, p. 118

*"No one could claim that Robinson Crusoe is not 'free'; yet a rational Crusoe might build and set an **alarm clock**, a device designed deliberately to intervene in his behavioral adjustment. . . "*

Alone on his island, Crusoe "governs" himself — he "makes contracts with himself." When the bell wakes him he "feels less free," even with no Friday present. We are author *and* subject of the law at once.

Why the enforcer must be *external*

Crusoe "fears that he will not. . . voluntarily live up to his own terms." Your future weak-willed self can't be trusted — so the governor (the clock) sits **outside** you. That is exactly why, when it punishes us, we feel alienated — though we wrote the rule.

"It is bad baseball when the catcher is required to umpire." (p. 121)

UF | The contractarian resolution: two states, two jobs

Split “government” in two. Confusing them is the root of modern resentment.

Protective state — the referee

- ▶ Enforces the rights we agreed to
- ▶ Must be **external** & impartial
- ▶ Makes “**truth judgments**” (was the law broken — yes/no?)
- ▶ Experts OK; feels exogenous

“The basketball referee does not arbitrarily assign free throws to the shorter players.” (p. 122)

Productive state — the provider

- ▶ Jointly buys public goods
- ▶ **Internal** to the community
- ▶ Makes “**value judgments**” (how much do we want?)
- ▶ Ideal rule: **Wicksellian unanimity**; majority rule is only a cost-saving surrogate

We accept being governed because we’d consent to these rules from the constitutional bargain — yet “If others treat him as God, man will come to think that he is God” (p. 134): the danger is the referee deciding what is *good for society*.

Thinker-link: Rousseau (“forced to be free”); Hobbes (rational exit from conflict); Wicksell (unanimity benchmark).

Discussion

Have you ever *actually* consented to the law? If not — why is it binding on you at all? And when a judge rules, should she ask “what does the Constitution say?” or “what is best for society?”

Ch. 7 — Law as Fragile Capital

Trust takes years to build — and seconds to burn

You leave your laptop on a library table to grab coffee and assume it's still there when you return. Nobody alive built most of that trust — you **inherited** it, like a paid-off house. It pays you “income” every day: safety, predictability.

Buchanan's warning: a society can **spend down** its inherited trust far faster than it can ever rebuild it. Declining trust in elections, institutions, and each other looks, in his model, like **capital depletion**.

- ▶ Banner thesis: “**Law is not only public; law is public capital.**” (p. 163)



Hume again: convention builds slowly, by repeated mutual expectation — exactly the way capital accumulates.

Compare two public goods. Both are nonexcludable — but they live in very different time frames.

A one-shot service

July 4th **fireworks** or a lighthouse beam: enjoyed “in the instantaneous time frame.” If vandals disrupt the fireworks, it hardly matters.

A capital stock

A building or a savings account: built by past investment, yields a **flow of income** over many periods. Law is this kind — “. . . but if they bomb the lighthouse the crisis takes on more serious overtones.” (p. 160)

- ▶ Color-code: **STOCK** = the inherited rules & trust; **INCOME** = the daily security it pays out.
- ▶ **Thinker-link:** this is the course’s **Böhm-Bawerk** capital unit applied to *law* — a stock built by “roundabout” past investment, paying a yield over time. Hume’s convention is its slow accumulation.



Deplete the stock when the **outflow** outruns the **inflow**. A private heir maintains his capital; a beneficiary of *public* capital is tempted to cash it in (pp. 158–159).

The numbers (p. 159)

Start: **STOCK** = 100, **INCOME** = 10/period.

“Eat” 10 units of stock → a one-time 20-unit splurge *this* period.

Result: **STOCK** → 90, and **INCOME** → 9 forever.

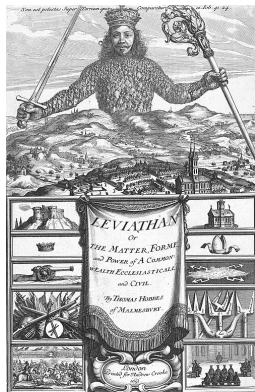
Cashing in trust buys a one-time high and a **permanently lower** payout — and rebuilding costs *more* than you can now afford.

UF | Erosion of legal & social capital

Norms held *without* enforcement are fragile. While most comply, the temptation to defect stays bearable — but “**once a critical limit is passed. . . the standards may erode rapidly**” (p. 151). A staircase that collapses past a threshold.

Concrete signs

- ▶ **Auto theft (p. 155):** one new thief raises everyone’s insurance, forces more policing, degrades the predictability of owning a car.
- ▶ **The 1950s campus as “orderly anarchy” (p. 156):** any speaker could be invited in the assurance the event would happen — by 1970, militants disrupted meetings and “the quality of the intellectual environment was lower.”
- ▶ Contract distrust, evasion, polarization today.



As shared order erodes, life drifts back toward the Hobbesian war the Leviathan was built to escape.

Buchanan, p. 153

*“The analysis becomes a theory of **behavioral pollution**.”*

The free-rider logic of Ch. 3, now turned on the *rules themselves*:

- ▶ Law-abiding is a **pure external economy** — you get *no* private reward; the whole benefit (others' security) spills onto the group. So a strict self-interest model predicts *nobody* obeys absent enforcement (p. 138).
- ▶ Violating the law produces a **“public bad”**: the exact converse of the public good — like the L.A. motorist adding to smog, or a family dumping its picnic litter, “through no malevolence. . . just a by-product of utility maximization” (pp. 153–154).
- ▶ Each defection is privately tempting, collectively ruinous — and once enough defect, the system drifts toward a **“full pollution equilibrium” desired by no one** (pp. 154–155).

Thinker-links: Coase/Pigou (externalities — Buchanan's “liberty tax” is a Pigouvian charge on disorder); Kant's generalization principle: the defector is the one who *won't* universalize.

Discussion

Name one piece of “social capital” your generation *inherited* — and one it is *spending down*. Using Buchanan’s model: why is rebuilding the eroded one so much harder than maintaining it would have been?

Ch. 8 — The Punishment Dilemma

Why we won't carry out the threats that keep us safe

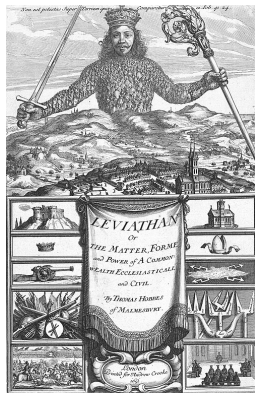
UF | Hook: would you press the button?

Buchanan imagines a TV set wired to a robot enforcer: carry it more than a set distance from home and it **explodes**. Only the owner holds the deactivation code. It would deter theft **perfectly** — and “would not rise up and become the master” (pp. 166–167).

So why don't we build it? Because “modern value attitudes would probably not allow such a device,” and a court “would probably force the owner to compensate the thief” if one got hurt (p. 167).

The puzzle

We refuse the **certain, automatic** punishment that would actually work. That refusal *is* the chapter.



Hobbes's Leviathan (1651): the enforcer who is supposed to make the threat credible.

UF | The dilemma, looking backward (ex post)

B has **already** stolen. The damage is done — “no punishment will restore the status quo ante” (p. 170). A must now choose:

- ▶ **ex post (infliction)**: punishing a real person hurts *us*; it is a “bad” (p. 168).
- ▶ **ex ante (deterrence)**: the *reason* we wanted the rule — but that benefit is in the past now.

Looking only backward, A rationally picks **Not Punish** ($-1 > -2$). The threat collapses. [X]

	B (already stole)
Punish	-2, -10
Not Punish	-1, +4

Ex post, A prefers **Not Punish** ($-1 > -2$). (after Buchanan, Fig 8.1, p.173)

Left number = A's utility (the punisher); right = B's.

UF | The flip, looking forward (ex ante)

		B		
		Abides by Law	Violates Law	$E[U_A]$
A	Commit to Punish	(.67) +4, +2	(.33) -2, -10	+2
	Not Punish	(.0) +4, +2	(1.0) -1, +4	-1

Bracketed = B's probability; right column = A's expected utility. (after Buchanan, Fig 8.2, p.175)

Let A **commit in advance** and B believe it: the threat cuts B's chance of stealing $1.0 \rightarrow .33$, so $E[U_A] = .67(+4) + .33(-2) = +2$ vs. -1 for not punishing. **Same person, opposite choice — only when he decides changes.**

*The diet rule: vow "no dessert" on Jan 1, renege Friday night — the fix, **throw the cake out**, is Buchanan's "irrevocable instruction to an external agent" (p. 173). Same logic as **central-bank credibility** (Kydland & Prescott). [T]*

One rule, many offenders (Figs 8.3–8.4, prose)

Real populations contain different response-types. Against an **unresponsive** group (B_2) the same advance commitment cuts violations only $1.0 \rightarrow .9$, so punishing yields $-1.4 < -1$ and A refrains; and the *efficient* penalty differs across groups (Moderate is best for responsive B_1 , Severe for B_2). Yet **one law must treat all offenders alike** — so every rule is too harsh for some and too soft for others (Buchanan, Figs 8.3–8.4, p.179).

Discussion

If forgiving the cheater is always cheaper *after* the fact, how does any threat stay credible? [Q]

Ch. 9 — The Threat of Leviathan

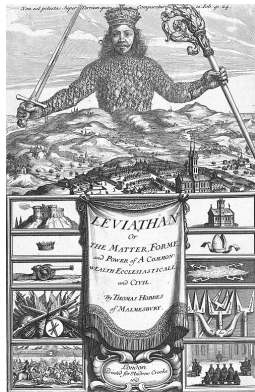
The guard dog we hired grows into a wolf

In Ch. 4 we *hired* an enforcer to make the contract credible. Now that enforcer is the danger. “Leviathan” is Hobbes’s word for the all-powerful sovereign; today we use it to flag “the dangers inherent in an **expanding public sector**” (p. 186).

The modern twist: there is no George III to blame. We are “tangled in the web of bureaucracy” run by “ourselves, or others of our same breed.” Controlling Leviathan now means controlling **self-government** (p. 188). [H]

Same image, new fear

Hobbes *endorses* the giant sovereign; Buchanan accepts the diagnosis of anarchy but **fears the cure** as much as the disease.



The sovereign is built out of the bodies of the citizens — the state is us, collectively. [X]

The big claim

Government grows too big **through the orderly workings of democracy**, not because bad people seized power.

- ▶ **Even unanimity over-commits.** Like a dieter, each meal is “privately rational” yet the *sequence* ends in obesity — the fix is an “eating constitution” (pp. 189–190). **[X]**
- ▶ **Majorities exploit minorities.** Concentrated benefits beat diffuse taxes; budgets balloon (pp. 195–196).
- ▶ **Politicians maximize their own “political income”** — “Few natural anarchists or libertarians frequent capital cloakrooms” (pp. 198–199).
- ▶ **Bureaucrats vote for their own agencies** (p. 204); “one in five” Americans then worked for government (p. 203).

Buchanan, p. 205

*“In the seven decades from 1900 to 1970, total government spending in real terms increased **forty times over** . . . almost exclusively, within the predictable workings of orderly democratic procedures.” **[H]***



Where the arc has carried us

We began at **D** (the natural distribution), agreed our way up to **C** and **E**, learned to be governed — and now the state keeps **sliding right**, past “ordered anarchy” toward Leviathan.

The same bar, the other danger

Ch. 1 worried we might fall *left* into anarchy. Ch. 9 warns the live threat runs the **other way**. Liberty is the narrow band in between. **[X]**

Public choice just means: study politicians, voters, and bureaucrats as the same self-interested people economics studies in markets — “politics without romance.”

- ▶ **Three types, one bias:** the do-gooder, the power-lover, and the grafter **all push budgets up** (pp. 199–201).
- ▶ **Logrolling / pork barrel:** “you back my dam, I’ll back your bridge” assembles majorities for projects that fail on their own (p. 197).
- ▶ **Asymmetry:** benefits can be *targeted*; taxes can’t easily be cut differentially — so the push is always toward **more spending** (p. 200).

With Tullock, Buchanan built this in *The Calculus of Consent*. [T]



Gordon Tullock (1922–2014) — co-author of The Calculus of Consent; rent-seeking and the logic of bureaucracy.

Three voters A, B, C; three projects, each costing \$99 (tax \$33 from each). **Each project benefits only two of the three** (+\$35 each). By majority vote, **all three pass**.

Add it up: every voter pays **\$99** in tax and receives only **\$70** in benefits — “worse off ... than with no budget at all” (p. 195). **[X]**

Same logic you've lived

Five friends split one check evenly, so everyone orders the lobster. The bill balloons — concentrated benefit, shared cost.

	Proj. I	Proj. II	Proj. III	Net
A	+35	+35	0	
B	+35	0	+35	
C	0	+35	+35	
<i>tax each</i>	-33	-33	-33	
Each voter: pays \$99, gets				\$70

Shaded = you benefit; you still pay the \$33 tax on every project. (Buchanan, p.195)

Anarchy — *too little order*

- ▶ No enforcer; rights defect (Cell IV).
- ▶ Effort wasted on predation and defense.
- ▶ Hobbes: life “poor, nasty, brutish, and short.”
- ▶ **Hobbes’s fix:** install the sovereign.
[T]

Leviathan — *too much order*

- ▶ The enforcer rewrites the rulebook “at their own will” (p. 207).
- ▶ Rights “subject to the whims of politicians” (p. 206).
- ▶ Drift toward **constitutional anarchy**.
- ▶ **Buchanan’s fear:** the cure becomes the disease.

*Same diagnosis of anarchy — opposite verdict on the sovereign. Buchanan wants the **narrow band in between**.*

Discussion

Which scares you more for the next 20 years — **anarchy** or **Leviathan**?
Defend it. **[Q]**

Ch. 10 — The Way Back

Beyond pragmatism: constitutional revolution

If the order has drifted toward Leviathan, how do we get **back** to limits?

Buchanan's verdict on the American habit: the "**balancing-wire syndrome**." "When something has gone wrong, our response is to fix it up with baling wire and to go about our business" (p. 213). It works only while the machine's core is sound. **[H]**

Every "social need" triggers another program — New Deal → Fair Deal → New Frontier → Great Society — with no one asking whether the *structure* can bear the load (p. 214).

The choice

Reform (re-contract on the rules, by agreement) vs. **rupture** (rules imposed by some on others).

Pickup basketball

Arguing a foul *during* play = postconstitutional politics.

Huddling *before* the game to agree on the rulebook = **constitutional** change.

America keeps arguing fouls while the rulebook itself is broken. **[X]**

Constitutional revolution

A **basic, nonincremental** change in the rules of the game — but restricted to changes **all members could agree to** (pp. 212–213).

- ▶ **Why imposition fails:** a nonconstitutional revolution “invites counterrevolution in a continuing zero- or negative-sum power sequence” (p. 213).
- ▶ **The test of legitimacy** is Wicksellian: change must benefit (substantially) all. **[T]** (link to the constitutions & elections unit).

Buy-out: rich A & poor B (p. 225)

A is rich, B is poor. A transfers a one-time chunk of wealth (\$33,333) to B in exchange for **shrinking government to zero**. Result:

A: \$60,000 → \$66,667

B: \$25,000 → \$38,333

Both better off. A one-time payment can buy consent to a smaller state. **[X]**

Buchanan, p. 228

“Free relations among free men — this precept of ordered anarchy can emerge as principle when successfully renegotiated social contract puts ‘mine and thine’ in a newly defined structural arrangement and when the Leviathan that threatens is placed within new limits.”

Buchanan won't name the “good society” — he calls good only what emerges from agreement. Markets and governments both fail; “there is no such benevolent wisdom” (p. 220). The deepest reform he asks for is attitudinal: see the state in the consent paradigm. [T]

Closing the loop — Knight

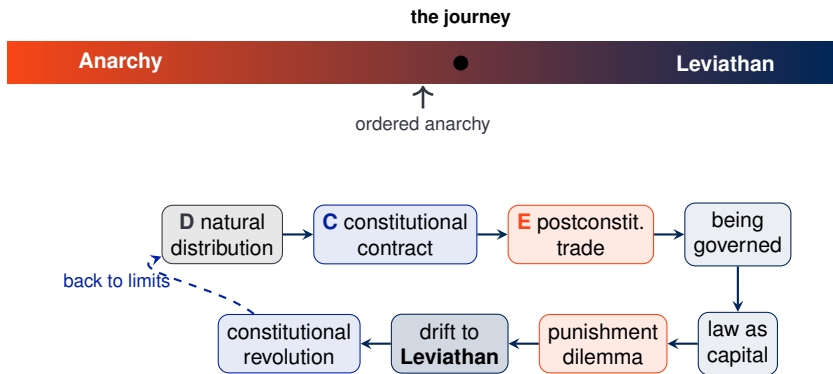
The book opened with Frank Knight: the game holds together only if the players have “an irrational preference to having it go on even when they seem . . . to get the worst of it.”

No machinery of sanctions saves us; in the end the rules survive only if we want them to.

Buchanan's epigraph is his conclusion (p. 209).

Discussion

Is a peaceful constitutional revolution possible — or do rules only change by crisis? **[Q]**



The book as a single loop: escape anarchy by contract, build order, watch it erode and overreach — then renegotiate back toward limits. [X]

Three lessons to keep

1. **Rights are made, not found** — they emerge from agreement out of the natural distribution (**D**).
2. **Order is fragile capital** — it must be maintained *ex ante*; we are tempted to spend it down *ex post*.
3. **Liberty is a narrow band** — guard against *both* anarchy and Leviathan.

Where Buchanan stands

- ▶ **Hobbes** — diagnose anarchy, but Buchanan fears the sovereign cure.
- ▶ **Locke / Rawls** — rights *before* the deal; Buchanan: **no** prior rights, no veil.
- ▶ **Hume / Coase** — property as convention to settle conflict: Buchanan agrees.
- ▶ **Tullock** — the public-choice engine of overreach.

Final question

Liberty lives in the narrow band between anarchy and Leviathan. **How do we keep a society there?** **[T][Q]**

- ▶ James M. Buchanan, *The Limits of Liberty: Between Anarchy and Leviathan* (Chicago: University of Chicago Press, 1975). All page cites are to the printed edition.
- ▶ Figures redrawn after Buchanan (Figs 2.1, 2.2, 3.1, 3.2, 4.1, 4.2, 4.3, 8.1, 8.2) with page cites; stock-flow diagram original to this deck.
- ▶ Portraits and the *Leviathan* frontispiece (Abraham Bosse, 1651): Wikimedia Commons, public domain or free license (verify before publishing).